

**Australian Securities &
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Form 388

Corporations Act 2001
294, 295, 298-300, 307, 308, 319, 321, 322
Corporations Regulations
1.0.08

Copy of financial statements and reports

Company details

Company name

B & E FOODS PTY LTD

ACN

629 618 837

Lodgement details

Registered agent number

11492

Registered agent name

HAYES KNIGHT

Reason for lodgement of statement and reports

A large proprietary company that is not a disclosing entity

Dates on which financial
year ends

Financial year end date

30-06-2023

Details of large proprietary company

What is the consolidated revenue of the large proprietary company and the entities that it controls?

315387269

What is the value of the consolidated gross assets of the large proprietary company and the entities that it controls?

80790385

How many employees are employed by the large proprietary company and the entities that it controls?

16

How many members does the large proprietary company have?

1

Form 388 - Copy of financial statements and reports
B & E FOODS PTY LTD ACN 629 618 837

Auditor's report

Were the financial statements audited?

Yes

Is the opinion/conclusion in the report modified? (The opinion/conclusion in the report is qualified, adverse or disclaimed)

No

Does the report contain an Emphasis of Matter and/or Other Matter paragraph?

No

Details of current auditor or auditors

Appointment of an auditor

Date of appointment **21-10-2022**

ASIC registered auditor number
538346

Name of Auditor

HAYES KNIGHT AUDIT (NSW) PTY LTD

Address

**LEVEL 2
115 PITT STREET
SYDNEY NSW 2000
Australia**

Certification

I certify that the attached documents are a true copy of the original reports required to be lodged under section 319 of the Corporations Act 2001.

Yes

Signature

Select the capacity in which you are lodging the form
Director

I certify that the information in this form is true and complete and that I am lodging these reports as, or on behalf of, the company.

Yes

Form 388 - Copy of financial statements and reports
B & E FOODS PTY LTD ACN 629 618 837

Authentication

This form has been authenticated by
Name HAYES KNIGHT
This form has been submitted by
Name Stephen MAZE
Date 30-10-2023

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B & E FOODS PTY LTD

ABN: 69 629 618 837

**Annual Financial Report
For The Year Ended 30 June 2023**

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B & E FOODS PTY LTD DIRECTOR'S REPORT

Your director presents his report together with the financial statements of the company for the financial year ended 30 June 2023.

Director

The name of the director in office at any time during, or since the end of, the year is:

Xu Chun Dong

The director has been in office since the start of the financial year to the date of this report .

Review of Operations and Financial Results

The profit after income tax of the Company amounted to \$4,898,140 (2022: \$\$4,339,338).

Significant Changes in State of Affairs

There have been no significant changes in the state of the affairs of entities in the Company during the year.

Principal Activities

The principal activities of the Company during the financial year were that of poultry processors and wholesalers.

After balance date events

No matter or circumstance has arisen since the end of the financial year which significantly affected or may significantly affect the operations of the Company, the results of those operations, or the state of affairs of the Company in future financial years.

Future developments and results

Likely developments in the operations of the Company and the expected results of those operations in future financial years have not been included in this report as the inclusion of such information is likely to result in unreasonable prejudice to the Company.

Environmental Regulation

The Company's operations are not regulated by any significant environmental regulation under a law of the Commonwealth or of a state or territory.

Indemnification of Officers

No indemnities have been given or insurance premiums paid, during or since the end of the financial year, for any person who is or has been an officer or auditor of the Company.

Options

No options over issued shares or interests in the Company or a controlled entity were granted during or since the end of the financial year and there were no options outstanding at the date of this report.

Proceedings on Behalf of Company

No person has applied for leave of court to bring proceedings on behalf of the company or intervene in any proceedings to which the company is a party for the purpose of taking responsibility on behalf of the company for all or any part of those proceedings.

The company was not a party to any such proceedings during the year.

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B & E FOODS PTY LTD DIRECTOR'S REPORT

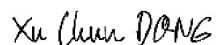
Dividends

No dividends were recommended and paid during the year. (2022: NIL)

Auditor's Independence Declaration

A copy of the auditor's independence declaration as required under section 307C of the Corporations Act 2001 is set out on page 3.

Signed in accordance with a resolution of the Board:



Xu Chun Dong

Dated this 24th day of October 2023



Hayes Knight Audit

Hayes Knight Audit (NSW) Pty Ltd
ABN 52 142 320 590

Level 2, 115 Pitt St, Sydney NSW 2000
GPO Box 4565 Sydney NSW 2001

T: 02 9221 6666 F: 02 9221 6305

www.hayesknight.com.au

**AUDITOR'S INDEPENDENCE DECLARATION
UNDER SECTION 307C OF THE CORPORATIONS ACT 2001
TO THE DIRECTOR OF B & E FOODS PTY LTD**

We declare, that to the best of our knowledge and belief, during the year ended 30 June 2023 there have been:

- (i) no contraventions of the auditor independence requirements as set out in the Corporations Act 2001 in relation to the audit; and
- (ii) no contraventions of any applicable code of professional conduct in relation to the audit.

Vincent Poon – Director Audit Services
Registered Company Auditor

Hayes Knight Audit (NSW) Pty Ltd

Dated at Sydney, this 24th day of October 2023

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B & E FOODS PTY LTD
STATEMENT OF PROFIT AND LOSS
AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2023

	Note	2023 \$	2022 \$
Revenue - poultry sales	2	315,302,612	230,294,963
Cost of sales		(259,934,088)	(188,787,719)
Gross profit		55,368,524	41,507,244
Other income	2	84,657	50,226
Depreciation and amortisation		(1,456,433)	(819,563)
Asset written off		(146,864)	(68,142)
Doubtful debts		(150,000)	-
Employee costs		(3,547,780)	(5,873,880)
Finance costs		(2,578,183)	(566,600)
Insurance expense		(989,793)	(872,223)
Logistic and freight		(6,755,930)	(7,473,974)
Management fee		(11,957,138)	(2,160,000)
Marketing expense		(217,122)	(175,978)
Motor vehicle expense		(2,470,459)	(2,043,963)
Other expenses		(4,750,246)	(4,204,543)
Occupancy expense		(7,541,346)	(6,114,264)
Repair and maintenance		(2,204,756)	(1,594,402)
Sales service		(3,604,399)	(3,382,445)
Net profit before income tax		7,082,732	6,207,493
Income tax expense	4	(2,184,592)	(1,868,155)
Profit after income tax		4,898,140	4,339,338
Other comprehensive income		-	-
Total comprehensive income for the year attributable to members of the entity		4,898,140	4,339,338

The accompanying notes form part of these financial statements.

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B & E FOODS PTY LTD
STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2023

	Note	2023 \$	2022 \$
Assets			
Current assets			
Cash and cash equivalents	5	86,657	98,644
Trade and other receivables	6	14,274,147	11,507,437
Inventories	7	4,809,633	3,802,368
Tax refundable	8	2,842,648	132,257
Other assets	9	124,620	3,506,051
Total current assets		22,137,705	19,046,757
Non-current assets			
Trade and other receivables	6	43,722,772	37,633,185
Plant and equipment	10	13,576,726	6,915,074
Intangible assets	11	1,000,000	1,000,000
Other assets	9	353,182	354,016
Total non-current assets		58,652,680	45,902,275
Total assets		80,790,385	64,949,032
Liabilities			
Current liabilities			
Trade and other payables	12	21,666,812	18,659,924
Financial liabilities	13	5,789,719	4,740,446
Provision	14	293,069	279,077
Total current liabilities		27,749,600	23,679,447
Non-current liabilities			
Trade and other payables	12	20,692,855	17,930,123
Financial liabilities	13	4,113,953	2,062,126
Provision	14	209,668	196,092
Deferred tax liabilities	8	2,381,176	336,251
Total Non-current liabilities		27,397,652	20,524,592
Total liabilities		55,147,252	44,204,039
Net assets		25,643,133	20,744,993
Equity			
Issued capital	15	8,695,377	8,695,377
Retained earnings		16,947,756	12,049,616
		25,643,133	20,744,993

The accompanying notes form part of these financial statements.

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B & E FOODS PTY LTD
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2023

	Issued Capital \$	Retained earnings \$	Total \$
Balance at 1 July 2021	8,695,377	7,710,278	16,405,655
Profit for the year	-	4,339,338	4,339,338
Balance at 30 June 2022	8,695,377	12,049,616	20,744,993
Profit for the year	-	4,898,140	4,898,140
Balance at 30 June 2023	8,695,377	16,947,756	25,643,133

The accompanying notes form part of these financial statements.

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B & E FOODS PTY LTD
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 JUNE 2023

	Note	2023 \$	2022 \$
Cash flows from operating activities:			
Receipts from customers		344,008,848	249,680,889
Payments to suppliers and employees		(333,483,718)	(243,947,886)
Interest received		398	182
Interest paid		(2,578,183)	(566,600)
Income tax paid		(2,850,058)	(4,942,626)
Net cash provided by operating activities		5,097,287	223,959
Cash flows from investing activities:			
Purchase of fixed assets		(1,901,256)	(489,373)
Net cash used in investing activities		(1,901,256)	(489,373)
Cash flows from financing activities:			
Proceeds from/(Payments to) related parties		(3,326,855)	317,241
Proceeds from/(Payments to) other parties		-	(1,200,000)
Proceeds from/(Repayment of) borrowing		784,945	(993,660)
Net cash used in financing activities		(2,541,910)	(1,876,419)
Net increase/(decrease) in cash held		654,121	(2,141,833)
Cash and cash equivalents at beginning of financial year		(3,102,407)	(960,574)
Cash and cash equivalents at end of financial year	5	(2,448,286)	(3,102,407)

The accompanying notes form part of these financial statements.

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**B & E FOODS PTY LTD
NOTE TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2023**

Note 1 Statement of Significant Accounting Policies

The financial statements cover the financial statements and notes of B&E Foods Pty Ltd (the Company).

The financial statements were authorised for issue by the Director on 24 October 2023.

Accounting Policies

(a) Basis of preparation

These general purpose financial statements have been prepared in accordance with Australian Accounting Standards - Simplified Disclosure of Australian Accounting Standards Board and the Corporations Act 2001. The company is a for-profit entity for financial reporting purposes under Australian Accounting Standards.

Australian Accounting Standards set out accounting policies that the Australian Accounting Standards Board has concluded would result in financial statements containing relevant and reliable information about transactions, events and conditions. Material accounting policies adopted in the preparation of the financial statements are presented below and have been consistently applied unless stated otherwise.

The financial statements, except for the cash flow information, have been prepared on an accrual basis and are based on historical costs, modified, where applicable, by the measurement at fair value of selected non-current assets, financial assets and financial liabilities. The amounts presented in the financial statements are in Australian Dollars and have been rounded to the nearest dollar.

(b) Information about the Company

The B&E Foods Pty Ltd is a proprietary company incorporated in Australia under the Corporations Act 2001.

The registered office and principal place of business of the company is:

25 Bessemer Street
Blacktown, NSW 2148

(c) New Australian Accounting Standards and Interpretations not yet mandatory or early adopted

Australian Accounting Standards and Interpretations that have recently been issued or amended but are not yet mandatory, have not been early adopted by the Company for the annual reporting period ended 30 June 2023. The Company's assessment of the impact of these new or amended Accounting Standards and Interpretations, most relevant to the Association, is considered not significant.

(d) New and Amended Accounting Standards Adopted by the Entity

There are no new or amended accounting standards which had an impact on the Entity during this reporting period.

(e) Comparative figures

When required by Accounting Standards, comparative figures have been adjusted to conform to changes in presentation for the current financial year.

(f) Presentation Currency

The financial statements of the Company are presented in the currency of the primary economic environment in which the Company operates (its functional currency). For the purpose of the financial statements, the results and financial position of the Company are expressed in Australian dollars ('\$'), which is the functional currency of the Company and the presentation currency for the financial statements.

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**B & E FOODS PTY LTD
NOTE TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2023**

(g) Income Tax

Current tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities based on the current period's taxable income. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

Deferred income tax is provided on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry-forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Unrecognised deferred income tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred income tax assets and liabilities are measured at the tax rate that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and deferred tax liabilities are offset only if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred tax assets and liabilities relate to the same taxable entity and the same taxation authority.

(h) Current versus non-current classification

The Company presents assets and liabilities in the statement of financial position based on current/non-current classification.

An asset is current when it is:

- Expected to be realised or intended to be sold or consumed in the normal operating cycle;
- Held primarily for the purpose of trading;
- Expected to be realised within twelve months after the reporting period; or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in the normal operating cycle;
- It is held primarily for the purpose of trading;
- It is due to be settled within twelve months after the reporting period; or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Company classifies all other liabilities as non-current.

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B & E FOODS PTY LTD
NOTE TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2023

(i) Fair value measurement

The Company measures non-financial assets at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Company. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Institute determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

External valuers are involved for valuation of significant assets, such as land and buildings. Selection criteria include market knowledge, reputation, independence and whether professional standards are maintained. For the purpose of fair value disclosures, the Institute has determined classes of assets on the basis of the nature, characteristics and risks of the asset and the level of the fair value hierarchy.

(j) Cash and Cash Equivalents

Cash and cash equivalents include cash on hand, deposits held at call with banks, other short-term highly liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within interest bearing loans and borrowings in current liabilities on the balance sheet.

(k) Trade and Other Receivables

Trade and other receivables represent the principal amounts due at balance date plus accrued interest and less, where applicable, any unearned income and provisions for doubtful account.

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B & E FOODS PTY LTD
NOTE TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2023

(l) Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of manufactured products includes direct materials, direct labour and an appropriate portion of variable and fixed overheads. Overheads are applied on the basis of normal operating capacity. Costs are assigned on a first-in first-out basis.

(m) Plant and Equipment

Each class of plant and equipment is carried at cost or fair value less, where applicable, any accumulated depreciation and impairment losses.

Plant and equipment are measured on the cost basis.

The carrying amount of plant and equipment is reviewed annually by directors to ensure it is not in excess of the recoverable amount from these assets. The recoverable amount is assessed on the basis of the expected net cash flows that will be received from the assets employment and subsequent disposal. The expected net cash flows have not been discounted to their present values in determining recoverable amounts.

Depreciation

The depreciable amount of all fixed assets is depreciated on a diminishing value over their estimated useful lives to the company commencing from the time the asset is held ready for use. The depreciation rates used for each class of depreciable assets are:

Class of Fixed Asset	Depreciation Rate
Plant and equipment	10%
Motor vehicles	12.5%
Furniture and fitting	10%

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each balance sheet date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposals are determined by comparing proceeds with the carrying amount. These gains or losses are included in the statement of comprehensive income.

(n) Financial instruments**Initial recognition and measurement**

Financial assets and financial liabilities are recognised when the Company becomes a party to the contractual provisions of the instrument. For financial assets, this is equivalent to the date that the Company commits itself to either purchase or sell the asset.

Financial assets and financial liabilities are initially measured at fair value. Transactions costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in profit or loss.

(i) Financial assets

Financial assets are classified into the following specified categories: financial assets 'at fair value through profit or loss' (FVTPL), 'held to maturity' investments, 'available-for-sale' (AFS) financial assets and 'loans and receivables'. The classification depends on the nature and purpose of the financial assets and is determined at the time of initial recognition. All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace.

The Company only has receivables as its financial assets.

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**B & E FOODS PTY LTD
NOTE TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2023**

(n) Financial instruments (Cont'd)

(ii) Loans and receivables

Trade receivables, loans, and other receivables that have fixed or determinable payments that are not quoted in an active market are classified as 'loan and receivables'. Loans and receivables are measured at amortised cost using the effective interest method, less any impairment. Interest income is recognised by applying the effective interest rate, except for short-term receivables when the effect of discounting is immaterial.

(iii) Impairment of financial assets

Financial assets, other than those at FVTPL, are assessed for indicators of impairment at the end of each reporting period. The Company considers a broader range of information when assessing credit risk and measuring expected credit losses, including past events, current conditions, reasonable and supportable forecasts that affect the expected collectability of the future cash flows of the instrument.

(iv) Financial liabilities

Financial liabilities are classified as either financial liabilities 'at FVTPL' or 'other financial liabilities'.

(v) Financial liabilities at FVTPL

Financial liabilities are classified as FVTPL when the financial liability is either held for trading or it is designed as at FVTPL. There are no such financial liabilities.

(vi) Other financial liabilities

Other financial liabilities, including borrowings and trade and other payables, are initially measured at fair value, net of transaction costs.

Other financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or (where appropriate) a shorter period, to the net carrying amount on initial recognition.

(vii) Derecognition of financial liabilities

The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or they expire. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

(o) Intangibles

Goodwill

Purchased goodwill is recognised at cost of acquisition.

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**B & E FOODS PTY LTD
NOTE TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2023**

(p) Impairment of goodwill

For impairment assessment purposes, assets are grouped at the lowest levels for which there are largely independent cash inflows (cash-generating units).

As a result, some assets are tested individually for impairment and some are tested at cash-generating unit level. Goodwill is allocated to those cash-generating units that are expected to benefit from synergies of the related business combination and represent the lowest level within the Company at which management monitors goodwill.

Cash-generating units to which goodwill has been allocated (determined by the Company's management as equivalent to its operating segments) are tested for impairment at least annually. All other individual assets or cash-generating units are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognised for the amount by which the asset's or cash-generating unit's carrying amount exceeds its recoverable amount, which is the higher of fair value less costs to sell and value-in-use. To determine the value-in-use, management estimates expected future cash flows from each cash-generating unit and determines a suitable interest rate in order to calculate the present value of those cash flows. The data used for impairment testing procedures are directly linked to the Company's latest approved budget, adjusted as necessary to exclude the effects of future reorganisations and asset enhancements. An impairment charge is reversed if the cash generating unit's recoverable amount exceeds its carrying amount.

(q) Trade and Other Payables

These amounts represent liabilities for goods and services provided to the company prior to the end of financial year which are unpaid. The amounts are unsecured and are usually paid within 30 - 60 days of recognition.

(r) Provisions

Provisions are recognised when the Company has a legal or constructive obligation, as a result of past events, for which it is probable that an outflow of economic benefits will result and that outflow can be reliably measured.

(s) Revenue

Revenue is measured at the value of the consideration received or receivable after taking into account any trade discounts or rebates.

Revenue from the sale of goods is recognised upon the delivery of goods to customers.

Interest revenue is recognised on a proportional basis taking into account the interest rates applicable to the financial assets.

Government subsidy is recognised as income upon receipt.

All revenue is stated net of the amount of goods and services tax (GST).

(t) Borrowing cost

Borrowing cost in relation to loan initiation and related activity are capitalised and amortised over the period of the loan.

(u) Goods and Services Tax (GST)

Revenues, expenses and assets are recognised net of the amount of GST, except where the amount of GST incurred is not recoverable from the Australian Taxation Office. In these circumstances, the GST is recognised as part of the cost of acquisition of the asset or as part of an item of the expense. Receivables and payables in the balance sheet are shown inclusive of GST.

Receivables and payables are stated inclusive of the amount of GST receivable or payable. The net amount of GST recoverable from, or payable to, the ATO is included with other receivables or payables in the statement of financial position.

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B & E FOODS PTY LTD
NOTE TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2023

(v) Employee Benefits**Short-term employee benefits**

Provision is made for the Company's obligation for short-term employee benefits. Short-term employee benefits are benefits (other than termination benefits) that are expected to be settled wholly before 12 months after the end of the annual reporting period in which the employees render the related service, including wages, salaries and sick leave. Short-term employee benefits are measured at the (undiscounted) amount expected to be paid when the obligation is settled.

The Company's obligations for short-term employee benefits such as wages, salaries and sick leave are recognised as a part of current trade and other payables in the statement of financial position.

Other long-term employee benefits

Provision is made for employees' long service leave and annual leave entitlements not expected to be settled wholly within 12 months after the end of the annual reporting period in which the employees render the related services. Other long-term employee benefits are measured at the present value of the expected future payments to be made to employees. Expected future payments incorporate anticipated future wage and salary levels, durations of service and employee departures, and are discounted at rates determined by reference to market yields at the end of the reporting period on government bonds that have maturity dates that approximate the terms of the obligations. Upon the remeasurement of obligations for other long-term employee benefits, the net change in the obligation is recognised in profit or loss as a part of employee benefits expense.

The Company's obligations for long-term employee benefits are presented as non-current provisions in its statement of financial position, except where the Company does not have an unconditional right to defer settlement for at least 12 months after the end of the reporting period, in which case the obligations are presented as current provisions.

(w) Leases

Lease payments for operating leases, where substantially all the risks and benefits remain with the lessor, are charged as expenses in the periods in which they are incurred. There were no formal lease agreements and accordingly AASB16 has not been adopted.

(x) Significant accounting judgements, estimates and assumptions

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances arising beyond the control of the Company. Such changes are reflected in the periods when they occur.

Key estimates - impairment

The Company assesses impairment at each reporting date by evaluating conditions specific to the Company that may lead to impairment of assets. Where an impairment trigger exists, the recoverable amount of the asset is determined.

Key estimates - deferred tax assets

The extent to which deferred tax assets can be recognised is based on an assessment of the probability of the Company's future taxable income against which the deferred tax assets can be utilised.

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B & E FOODS PTY LTD
NOTE TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2023

(x) Significant accounting judgements, estimates and assumptions (Cont'd)

Key estimates - receivables

The receivables at reporting date have been reviewed to determine whether there is any objective evidence that any of the receivables are impaired. An impairment provision is included for any receivable where the entire balance is not considered collectible. The impairment provision is based on the best information at the reporting date.

Key estimates - impairment of goodwill

Goodwill is allocated to cash generating units (CGU's) according to applicable business operations. The recoverable amount of a CGU is based on value-in-use calculations. These calculations are performed annually at 30 June each year.

These calculations are based on projected discounted cash flows determined by management and approved by the board covering a period not exceeding five years.

No impairment loss on Company, based upon a value in use calculation was recognised for continuing operations for the year ended 30 June 2023. Management prepared discounted cash flow projections at 30 June 2023 based upon actual results to that date and applying growth rates for 2023 of 5% adjusted for any specifically determined variations.

Key estimates - inventory

Each item on inventory is reviewed on an annual basis to determine whether it is being carried at higher than its net realisable value. During the year, management have written down inventory based on best estimate of the net realisable value, although until the time that inventory is sold this is an estimate.

Key judgements

(i) Performance obligations under AASB 15

To identify a performance obligation under AASB 15, the promise must be sufficiently specific to be able to determine when the obligation is satisfied. Management exercises judgement to determine whether the promise is sufficiently specific by taking into account any conditions specified in the arrangement, explicit or implicit, regarding the promised goods or services. In making this assessment, management includes the nature/type, cost value, quantity and the period of transfer related to the goods or services promised.

Note 2 Revenue and Other Income

	2023	2022
	\$	\$
Revenue from continuing operations		
Revenue		
Sales revenue	315,302,612	230,294,963
Other Income		
Interest revenue	398	182
Fuel tax credit	49,210	23,686
Other Income	35,049	26,358
	84,657	50,226

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B & E FOODS PTY LTD
NOTE TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2023

Note 3 Expenses

	2023 \$	2022 \$
Rent and outgoings	6,834,614	5,427,749
Remuneration of auditor	11,900	11,400
	<u>6,846,514</u>	<u>5,439,149</u>

Note 4 Income tax expense

	2023 \$	2022 \$
The components of tax expense comprise:		
Current tax	139,667	1,267,606
Deferred tax expense relating to:		
Origination and reversal of temporary differences	2,044,925	600,549
	<u>2,184,592</u>	<u>1,868,155</u>

Reconciliation of prima-facie income tax to tax expense:

Profit before tax		
Tax at 30% (2022:30%)	2,124,820	1,862,248
Add:		
Permanent difference	59,772	5,907
	<u>2,184,592</u>	<u>1,868,155</u>

Note 5 Cash and cash equivalents

	2023 \$	2022 \$
Cash at Bank and on Hand	86,657	98,644
	<u>86,657</u>	<u>98,644</u>

Reconciliation of cash

Cash at the end of the financial year as shown in the statement of cash flows is reconciled to items in the statement of financial position as follows:

Cash and cash equivalents	86,657	98,644
Bank overdrafts	(2,534,943)	(3,201,051)
	<u>(2,448,286)</u>	<u>(3,102,407)</u>

Note 6 Trade and Other Receivables

	2023 \$	2022 \$
Current		
Trade receivables	14,504,056	11,740,696
Provision for doubtful debts	(1,000,000)	(850,000)
GST receivable	770,091	616,741
	<u>14,274,147</u>	<u>11,507,437</u>
Non-Current		
Loan to related parties	43,722,772	37,633,185
	<u>43,722,772</u>	<u>37,633,185</u>

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B & E FOODS PTY LTD
NOTE TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2023

Note 7 Inventories

	2023	2022
	\$	\$
Stock on hand	4,809,633	3,802,368
	<u>4,809,633</u>	<u>3,802,368</u>

Note 8 Tax

	2023	2022
	\$	\$
Current		
Current tax refundable	2,842,648	132,257
	<u>2,842,648</u>	<u>132,257</u>
Non-Current		
Deferred tax liabilities	(2,381,176)	(336,251)
	<u>(2,381,176)</u>	<u>(336,251)</u>

Note 9 Other assets

	2023	2022
	\$	\$
Current		
Deposits paid to suppliers	124,620	3,506,051
	<u>124,620</u>	<u>3,506,051</u>
Non-current		
Rental bond deposit	353,182	354,016
	<u>353,182</u>	<u>354,016</u>

Note 10 Plant and Equipment

	2023	2022
	\$	\$
Plant and Equipment		
At cost	8,719,336	3,607,114
Accumulated depreciation	(1,474,207)	(904,177)
	<u>7,245,129</u>	<u>2,702,937</u>
Furniture & Fitting		
At cost	465,579	487,419
Accumulated depreciation	(161,117)	(118,153)
	<u>304,462</u>	<u>369,266</u>
Motor Vehicles		
At cost	7,528,897	4,546,634
Accumulated depreciation	(1,501,762)	(703,763)
	<u>6,027,135</u>	<u>3,842,871</u>
Total	<u>13,576,726</u>	<u>6,915,074</u>

Movements in carrying amounts

Movements in the carrying amounts for each class of property, plant and equipment between the beginning and the end of the current financial year.

	Balance at beginning of year \$	Additions \$	Disposal \$	Depreciation/ Amortisation expense \$	Carrying amount at the end year \$
Plant and equipment	2,702,937	5,282,686	(130,802)	(609,692)	7,245,129
Furniture & Fitting	369,266	-	(16,062)	(48,742)	304,462
Motor vehicle	3,842,871	2,982,263	-	(797,999)	6,027,135
Total	<u>6,915,074</u>	<u>8,264,949</u>	<u>(146,864)</u>	<u>(1,456,433)</u>	<u>13,576,726</u>

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B & E FOODS PTY LTD
NOTE TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2023

Note 11 Intangible Assets

	2023	2022
	\$	\$
Goodwill at cost	1,000,000	1,000,000
	<u>1,000,000</u>	<u>1,000,000</u>

Note 12 Trade and Other Payables

	2023	2022
	\$	\$
Current		
Trade payables	20,550,214	17,661,934
Other payables & accruals	263,920	391,486
Annual leave	852,678	606,504
	<u>21,666,812</u>	<u>18,659,924</u>
Non-Current		
Loan from related parties	20,692,855	17,930,123
	<u>20,692,855</u>	<u>17,930,123</u>

Note 13 Financial Liabilities

	2023	2022
	\$	\$
Current		
Bank overdraft	2,534,943	3,201,051
Hire purchases (secured)	3,598,959	1,635,873
Unexpired interest	(344,183)	(96,478)
	<u>5,789,719</u>	<u>4,740,446</u>
Non-current		
Hire purchases (secured)	4,358,447	2,122,490
Unexpired interest	(244,494)	(60,364)
	<u>4,113,953</u>	<u>2,062,126</u>

The bank overdraft and borrowings are secured by:

- General security interest over all present and future assets and undertakings of B&E Poultry (Queensland) Pty Ltd ACN 154 695 539;
- General security interest over all present and future assets and undertakings of B&E Group Pty Ltd ACN 630 040 354;
- General security interest over all present and future assets and undertakings of B&E Food Melbourne Pty Ltd ACN 619 726 555;
- General security interest over all present and future assets and undertakings of B&E Foods Pty Ltd ACN 629 618 837;
- General security interest over all present and future assets and undertakings of B&E Poultry Holdings Pty Ltd ACN 137 454 678 in its own capacity and in its capacity as trustee of the B&E Poultry Trading Trust ABN 20 195 957 269;
- First registered company charge by B&E Poultry (NSW) Pty Ltd ACN 137 458 229 over whole of its asset(s) and undertaking(s) including uncalled capital;
- First registered company charge by B&E Packaging Pty Ltd ACN 126 875 376 over whole of its asset(s) and undertaking(s) including uncalled capital;

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**B & E FOODS PTY LTD
NOTE TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2023**

Note 13 Financial Liabilities (Cont'd)

- First registered Mortgage by L&B Management Pty Ltd ACN 137 454 650 over whole of its asset(s) and undertaking(s) including uncalled capital and including all asset(s) of Zheng Family Trust ABN 18413 534 136;
- First registered company charge by Australian Elite Human Resources Pty Ltd ACN 130 504 479 over the whole of its asset(s) and undertaking(s) including uncalled capital;
- General security interest over all present and future assets and undertakings of B&E Poultry (NSW) Pty Ltd ACN 137 458 229;
- General security interest over all present and future assets and undertakings of B&E Packaging Pty Ltd ACN 126 875 376;
- General security interest over all present and future assets and undertakings of L&B Management Pty Ltd ACN 137 454 650 in its own capacity and in its capacity as trustee of the Zheng Family Trust ABN 18 413 534 136;
- General security interest over all present and future assets and undertakings of Australian Elite Human Resources Pty Ltd ACN 130 504 479;
- General security Interest over all present and future assets and undertakings of B6 Dong Property Pty Ltd ACN 653 669 393 in its own capacity and in its capacity as trustee of the B6 Dong Property Trust ABN 86 185 026 335;
- General security Interest over all present and future assets and undertakings of B&E Foods Adelaide Pty Ltd ACN 646 541 960;
- General security Interest over all present and future assets and undertakings of B&E Foods Perth Pty Ltd ACN 646 542 805;
- General security Interest over all present and future assets and undertakings of B&E Foods Townsville Pty Ltd ACN 650 117 589;
- General security Interest over all present and future assets and undertakings of B&E Group Pty Ltd ACN 630 040 354;
- General security Interest over all present and future assets and undertakings of B&E Services NSW Pty Ltd ACN 642 086 262;
- General security Interest over all present and future assets and undertakings of B&E Services QLD Pty Ltd ACN 642 087 027;
- General security Interest over all present and future assets and undertakings of B&E Services VIC Pty Ltd ACN 642 091 129;
- General security Interest over all present and future assets and undertakings of Melco Foods Pty Ltd ACN 631 526 586;
- General security Interest over all present and future assets and undertakings of Dong E Holdings Pty Ltd ACN 613 829 422 in its own capacity and in its capacity as trustee of the Dong E Trust ABN 40 519 428 424;
- General security Interest over all present and future assets and undertakings of E Dong Holdings Pty Ltd ACN 608 321 080 in its own capacity and in its capacity as trustee of the E Dong Property Trust ABN 95 461 242 251;

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**B & E FOODS PTY LTD
NOTE TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2023**

Note 13 Financial Liabilities (Cont'd)

- General security Interest over all present and future assets and undertakings of B8 Dong Property Pty Ltd ACN 647 426 659 in its own capacity and in its capacity as trustee of the B8 Dong Property Trust ABN 45 683 997 577;
- General security Interest over all present and future assets and undertakings of Wesfresh Sydney Pty Ltd ACN 642 083 770;
- General security Interest over all present and future assets and undertakings of B&E Foods Rockhampton Pty Ltd ACN 650 116 868;
- General security Interest over all present and future assets and undertakings of Zheng Property Vic Pty Ltd ACN 668 202 980 in its own capacity and in its capacity as trustee of the Zheng Property Vic Trust ABN 25 806 391 274;
- First Registered Real Property Mortgage No. O986575 over the property situated at 58 Dellamarta Road, Wangara WA 6065 and as more particularly described in Lot 219 on Plan 12576 granted by B6 Dong Property Pty Ltd ACN 653 669 393 in its capacity as trustee of the B6 Dong Property Trust ABN 86 185 026 335.
- First Registered Real Property Mortgage No. AR978868 over the property situated at 19 Jura Street, Heatherbrae NSW 2324 and as more particularly described in Folio Identifier 4/875149 granted by B6 Dong Property Pty Ltd ACN 653 669 393 in its capacity as trustee of the B6 Dong Property Trust ABN 86 185 026 335.
- First Registered Real Property Mortgage No. 721848119 over the property situated at 118 Middle Road, Gracemere QLD 4702 and as more particularly described in Title Reference 30448095 granted by B6 Dong Property Pty Ltd ACN 653 669 393 in its capacity as trustee of the B6 Dong Property Trust ABN 86 185 026 335.
- First Registered Real Property Mortgage over the property situated at 403-405 King Street, Newtown NSW 2042 and as more particularly described in Folio Identifier B/447174 granted by Dong E Holding Pty Ltd ACN 613 829 422 in its capacity as trustee of the Dong E Trust ABN 40 519 428 424.
- First Registered Real Property Mortgage No. AU706891E over the property situated at 205 Union Road, Ascot Vale, VIC 3032 and as more particularly described in Certificate of Title Volume 9019 Folio 107 granted by E Dong Holdings Pty Ltd ACN 608 321 080 in its capacity as trustee of the E Dong Property Trust ABN 95 461 242 251.
- First Registered Real Property Mortgage No. AM160483 over the property situated at 353 Burwood Road, Belmore NSW 2192 and as more particularly described in Folio Identifier 10/5/6388 granted by E Dong Holdings Pty Ltd ACN 608 321 080 in its capacity as trustee of the E Dong Property Trust ABN 95 461 242 251.
- First Registered Real Property Mortgage No. AM160405 over the property situated at 355 Burwood Road, Belmore NSW 2192 and as more particularly described in Folio Identifier 11/5/6388 granted by E Dong Holdings Pty Ltd ACN 608 321 080 in its capacity as trustee of the E Dong Property Trust ABN 95 461 242 251.
- First Registered Real Property Mortgage No. AU544264J over the property situated at 18 and 18B Portman Street, Oakleigh VIC 3166 and as more particularly described in Certificate of Title Volume 10401 Folio 925 granted by E Dong Holdings Pty Ltd ACN 608 321 080 in its capacity as trustee of the E Dong Property Trust ABN 95 461 242 251.
- First Registered Real Property Mortgage No. AS656763 over the property situated at 7A Bessemer Street Blacktown NSW 2148 and as more particularly described in Folio Identifier 150/861298 granted by B8 Dong Property Pty Ltd ACN 647 426 659 in its capacity as trustee of the B8 Dong Property Trust ABN 45 683 997 577.
- First Registered Real Property Mortgage over the property situated at 70 Barrier Street, Fyshwick NSW 2609 and as more particularly described in Certificate of Title Volume 1651 Folio 12 granted by B6 Dong Property Pty Ltd ACN 653 669 393 in its capacity as trustee of the B6 Dong Property Trust ABN 86 185 026 335.

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B & E FOODS PTY LTD
NOTE TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2023

Note 13 Financial Liabilities (Cont'd)

- First Registered Real Property Mortgage over the property situated at 60 Constitution Road, Meadowbank NSW 2114 and as more particularly described in Folio Identifier D/27200 granted by Dong E Holding Pty Ltd ACN 613 829 422 in its capacity as trustee of the Dong E Trust ABN 40 519 428 424.
- First Registered Real Property Mortgage over the property situated at 12 Chapel Street, Windsor VIC 3181 and as more particularly described in Certificate of Title Volume 7362 Folio 201 granted by Zheng Property Vic Pty Ltd ACN 668 202 980 in its capacity as trustee of the Zheng Property Vic Trust ABN 25 806 391 274.
- First registered Mortgage by L&B Management Pty Ltd ACN 137 454 650 as trustee for Zheng Family Trust over residential real property located at unit 3205 The Quays 231-245 Harbour Esplanade Docklands VIC 3008;
- First registered Mortgage by L&B Management Pty Ltd ACN 137 454 650 as trustee for Zheng Family Trust over non residential real property located at 490 Warrandyte Road Langwarrin South VIC 3911;
- First registered Mortgage by L&B Management Pty Ltd ACN 137 454 650 as trustee for Zheng Family Trust over residential real property located at 2213 Taromeo Court Hope Island QLD 4212;
- First registered Mortgage by L&B Management Pty Ltd ACN 137 454 650 as trustee for Zheng Family Trust over non residential real property located at 8 Bessemer Street Blacktown NSW 2148;
- First registered Mortgage by L&B Management Pty Ltd ACN 137 454 650 as trustee for Zheng Family Trust over non residential real property located at 94 Burnside Road Ormeau QLD 4208; and
- First registered Mortgage by L&B Management Pty Ltd ACN 137 454 650 as trustee for Zheng Family Trust over non residential real property located at 25 Bessemer Street Blacktown NSW 2148.

Note 14 Provisions

	2023	2022
	\$	
Current		
Employee benefits	293,069	279,077
	<u>293,069</u>	<u>279,077</u>
Non-Current		
Employee benefits	209,668	196,092
	<u>209,668</u>	<u>196,092</u>

Note 15 Issued Capital

	2023	2022
	\$	\$
Fully Paid ordinary shares	8,695,377	8,695,377

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B & E FOODS PTY LTD
NOTE TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2023

Note 16 Capital and Leasing Commitments

There are no capital and contracted operating lease commitments.

Note 17 Related Party Transactions

(a) Remuneration of Key Management Personnel

Total aggregate remuneration paid to Key Management Personnel compensation during the year was \$Nil (2022: \$Nil).

(b) Transactions with other related parties

	2023	2022
	\$	\$
Management fee paid to related parties	1,790,000	2,160,000
Employee costs paid to related parties	1,016,138	2,780,896
Purchased products from related parties	47,101,367	24,031,209
Rental expense paid to related parties	6,760,480	5,427,749
Insurance expense paid to related parties	781,086	714,496
Other operating expenses paid to related parties	483,955	391,502

Note 18 Financial Risk Management

The Company's financial instruments consist mainly of deposits with banks, local money market instruments, short-term investments, accounts receivable and payable, loans to and from subsidiaries and bank loan.

The total amount for each category of financial instruments, measured in accordance with AASB 9: Financial Instruments: Recognition and Measurement as detailed in the accounting policies to these financial statements, are as follows:

	2023	2022
	\$	\$
Financial assets		
Financial assets at amortised cost:		
Cash and cash equivalents	86,657	98,644
Trade and other receivables	57,996,919	49,140,622
Total financial assets measured at amortised cost	58,083,576	49,239,266
Financial liabilities		
Financial liabilities at amortised cost:		
Trade and other payables	42,359,667	36,590,047
Financial liabilities	9,903,672	6,802,572
Total financial liabilities measured at amortised cost	52,263,339	43,392,619

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B & E FOODS PTY LTD
NOTE TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2023

Note 19 Fair Value Measurements

The Company has the following assets, as set out in the table below, that are measured at fair value after initial recognition. The Company does not subsequently measure any liabilities at fair value.

	Carrying Amount 2023 \$	Fair Value 2023 \$	Carrying Amount 2022 \$	Fair Value 2022 \$
Financial assets				
Cash and cash equivalents	86,657	86,657	98,644	98,644
Trade and other receivables	57,996,919	57,996,919	49,140,622	49,140,622
Total	58,083,576	58,083,576	49,239,266	49,239,266

All other financial and non-financial assets are measured at level 1 of the fair value hierarchy.

Note 20 Events After the Balance Sheet Date

No matters or circumstances have arisen since the end of the financial year which significantly affected or may significantly affect the operations of the Company, the results of those operations, or the state of affairs of the Company in future financial years.

Note 21 Contingent liabilities

	2023 \$	2022 \$
(a) Guarantees		
Bank Guarantees	60,000	60,000

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**B & E FOODS PTY LTD
DIRECTOR'S DECLARATION**

In accordance with a resolution of the director of B&E Foods Pty Ltd, the director of the Company declares that:

1. The financial statements and notes, as set out on pages 4 to 23, are in accordance with the Corporations Act 2001 and:

a. comply with Australian Accounting Standards – Simplified Disclosures; and

b. give a true and fair view of the financial position as at 30 June 2023 and of the performance for the year ended on that date of the Company.

2. In the director's opinion there are reasonable grounds to believe that B&E Foods Pty Ltd will be able to pay its debts as and when they become due and payable.

Xu Chun DONG

Xu Chun Dong

Dated at Sydney, this 24th day of October 2023



Hayes Knight Audit (NSW) Pty Ltd
ABN 52 142 320 590

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INDEPENDENT AUDIT REPORT TO THE MEMBERS OF B & E FOODS PTY LTD

Report on the Audit of the Financial Report

Opinion

We have audited the general purpose financial report of B & E Foods Pty Ltd (the Company), which comprises the statement of financial position as at 30 June 2023, the statement of comprehensive income, the statement of changes in equity and the statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies, and the director's declaration.

In our opinion, the accompany financial report of the Company, is in accordance with the Corporations Act 2001, including:

- (a) giving a true and fair view of the Company's financial position as at 30 June 2023 and of its financial performance for the year then ended; and
- (b) complying with Australian Accounting Standards - Simplified Disclosure and the Corporations Regulations 2001.

Basis for Opinion

We conducted our audit in accordance with Australian Auditing Standards. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Report section of our report. We are independent of the Company in accordance with the auditor independence requirements of the Corporations Act 2001 and the ethical requirements of the Accounting Professional & Ethical Standards Board's APES 110 Code of Ethics for Professional Accountants (including Independence Standards) (the Code) that are relevant to our audit of the financial report in Australia. We have also fulfilled our other ethical responsibilities in accordance with the Code.

We confirm that the independence declaration required by the Corporation Act 2001, which has been given to the director of B & E Foods Pty Ltd, would be the same terms if given to the director as at the time of this auditor's report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of the Director for the Financial Report

The director of B & E Foods Pty Ltd is responsible for the preparation of the financial report that gives a true and fair view in accordance with Australian Accounting Standards and the Corporations Act 2001 and for such internal control as the director determines is necessary to enable the preparation of the financial report that gives a true and fair view and is free from material misstatement, whether due to fraud or error.

In preparing the financial report, the director is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the director either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.



Hayes Knight Audit

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Auditor's Responsibilities for the Audit of the Financial Report

Our objectives are to obtain reasonable assurance about whether the financial report as a whole is free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with the Australian Auditing Standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of this financial report.

As part of an audit in accordance with the Australian Auditing Standards, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the director.
- Conclude on the appropriateness of the director's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial report or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial report, including the disclosures, and whether the financial report represents the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Company to express an opinion on the financial report. We are responsible for the direction, supervision and performance of the Company audit. We remain solely responsible for our audit opinion.

We communicate with the director regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Vincent Poon – Director Audit Services
Registered Company Auditor

Hayes Knight Audit (NSW) Pty Ltd

Dated at Sydney, this 24th day of October 2023